



November 28th, 2022

Chief, Foreign Investment Review Section (FIRS)
Deputy Chief, Compliance and Enforcement (FIRS)
On Behalf of the Assistant Attorney General for National Security
United States Department of Justice
National Security Division
175 N Street, NE
Washington, DC 20530

Subject: FCC MB Docket No. 22-61 (TT 22-001)
Petition for Declaratory Ruling by Spanish Broadcasting System pursuant to
Section 310(b)(4) of the Communications Act of 1934, as amended, seeking
authorization to exceed the 25 percent foreign investment benchmark.

Dear Sir/Madam:

This Letter of Agreement (“LOA”) sets forth the commitments that Spanish Broadcasting System, Inc. (“SBS”) makes to the U.S. Department of Justice (“USDOJ”) to address national security and law enforcement risks arising from SBS’s petition for declaratory ruling to the Federal Communications Commission (“FCC”), pursuant to Section 310(b)(4) of the Communications Act of 1934, as amended, 47 U.S.C. § 310, and the implementing regulation at 47 C.F.R. § 1.5000(a)(1), seeking authorization to exceed the 25 percent foreign investment benchmark. Specifically, SBS seeks a ruling permitting foreign equity ownership to exceed this benchmark based on the acquisition of SBS Class A Common shares by certain identified foreign entities and individuals (the “Transaction”). In addition, SBS seeks authority to further increase foreign equity ownership to up to 49.99 percent aggregate to unknown foreign investors, solely through the issuance of SBS Class A Common shares.

SBS certifies as true and correct, under penalties outlined in 18 U.S.C. § 1001, all statements SBS or its representatives have made in response to the triage questions submitted to USDOJ, the Department of Homeland Security, the Department of Defense and the FCC in the course of the review of the above-referenced petition that was conducted pursuant to Executive Order 13913, and it hereby adopts those statements as the basis for this LOA. *See* Exec. Order No 13913, 85 Fed. Reg. 19643 (Apr. 4, 2020).

SBS acknowledges that nothing in this LOA obviates or otherwise modifies any other legal obligation or requirement that SBS may have to any governmental or regulatory agency, including but not limited to, obligations to comply with the Foreign Agents Registration Act, 22 U.S.C. § 611 *et seq.*, and implementing regulations.

Changes in Ownership, Management, Portfolio of Services

1. SBS agrees to provide USDOJ notice of any material changes to its business, including but not limited to corporate structure changes, corporate name changes, business model changes, corporate headquarter location changes, or business operation location changes no less than 30 days in advance of such change. SBS also agrees to provide USDOJ notice within 30 days of initiating any bankruptcy proceeding or any other legal proceeding undertaken for the purpose of liquidating, reorganizing, refinancing, or otherwise seeking relief from all or some of SBS's debts

2. SBS also agrees to provide USDOJ notice as follows:

- (a) Within ten (10) days *after* SBS learns of any new owner of 5 percent or more (to include existing owners whose equity increases to five percent or more) of its equity by any means, including but not limited to any filing submitted to the Securities and Exchange Commission ("SEC") by such an SBS equity owner;
- (b) Within fifteen (15) days *after* the end of each calendar quarter, all currently identified non-U.S. owners of SBS's Class A Common stock;
- (c) Thirty (30) days *before* SBS does any of the following: (i) issues any new series of preferred stock; (ii) issues any additional shares of existing preferred stock; or (iii) issues or allows trading of any Class B Common stock.

3. SBS agrees to provide USDOJ notice of any material change to its current portfolio of services and types of live in-person event offerings, including offering other services or additional types of live in-person event offerings beyond its current service or event portfolio, no less than 60 days in advance of such change. USDOJ will object or non-object in writing within 60 days of receiving notice.

Third-Party Financial Audits

4. Audit Requirements. SBS agrees to retain and pay for a neutral third-party financial audit for the fiscal year 2023, to include an audit of SBS's internal controls ("the Initial Audit"). SBS agrees that the deadlines and requirements for the Initial Audit will be as follows:

- a. Within 60 days from the date on which the FCC releases a public notice or order granting the FCC Application, SBS shall provide notice of its proposed third-party auditor for the Initial Audit to USDOJ.
- b. USDOJ shall have an opportunity to provide reasonable objections to the proposed auditor within 60 days of receiving SBS's notification of the proposed auditor.
- c. Once USDOJ and SBS mutually agree upon a third-party auditor for the Initial Audit, and after SBS receives USDOJ's written non-objection, SBS will designate the agreed-upon, neutral third-party auditor ("the Initial Designated Auditor").

- d. Thereafter, SBS shall consult with USDOJ on the Initial Audit's terms and scope of engagement, the documents being audited, and the auditing standards to be applied (collectively, the "Initial Audit Terms"), and SBS will reasonably address any concerns raised by USDOJ, with the final Initial Audit Terms being subject to USDOJ approval. USDOJ and SBS will reasonably negotiate any concerns raised by SBS to the Initial Audit Terms. The Initial Designated Auditor will circulate to USDOJ and SBS the final Initial Audit Terms once they are approved by both USDOJ and SBS. The Initial Audit Terms shall allow for direct communication between USDOJ and the Initial Designated Auditor, without notice to or participation of SBS.
- e. SBS shall ensure that the Initial Audit report generated by the Initial Designated Auditor is promptly provided to USDOJ directly by the Initial Designated Auditor at the same time the Initial Audit report is provided by the Initial Designated Auditor to SBS.
- f. The Initial Audit's final report will be due no later than 180 days after either the close of SBS's fiscal year or the date on which the Initial Designated Auditor circulated the final Initial Audit Terms, whichever is later, unless other arrangements are approved by USDOJ, and will be issued by a Certified Public Accountant ("CPA"). The Initial Audit's final report will include a statement that the audit was conducted in accordance with generally accepted auditing standards and an identification of the United States as the country of origin of those standards.
- g. Following the Initial Audit, unless otherwise directed by USDOJ, a subsequent financial audit, to include an audit of SBS' internal controls ("the Subsequent Audit") will be conducted for fiscal year 2024. Thereafter, USDOJ may request a financial audit, to include an audit of SBS' internal controls (a "Requested Audit"). SBS shall retain and pay for a neutral third-party financial auditor for the Subsequent and Requested Audits. The deadlines and requirements for a Subsequent Audit or Requested Audit will include the following:
 - i. SBS shall provide notice of the proposed auditor to USDOJ each subsequent year following the completion of a financial audit, within 120 days of the submission of the preceding year's final financial audit, if the auditor has changed from the person/firm most recently designated or if USDOJ has notified SBS of an objection to the retention of the same person/firm.
 - ii. Should USDOJ object to the retention of the same person/firm for Subsequent or Requested Audits, USDOJ shall have an opportunity to provide reasonable objections within 90 days of the submission of the preceding year's final financial audit. USDOJ shall have an opportunity to provide reasonable objections to a newly proposed auditor within 60 days of receiving SBS's notification of a newly proposed auditor.

- iii. If USDOJ objects to current or proposed auditors pursuant to Section 3(g)(ii) above, SBS will designate the agreed-upon, neutral third-party auditor for the Subsequent or Requested Audit (“the Subsequent Designated Auditor”) only after receiving USDOJ’s written non-objection.
- iv. Once USDOJ and SBS mutually agree upon a neutral third-party auditor for a Subsequent or Requested Audit, USDOJ shall be consulted on the terms and scope of the review engagement, the documents being reviewed, and the review standards to be applied, including whether a review of internal controls should be conducted (“Subsequent Terms”). SBS will reasonably address any concerns raised by USDOJ, with the final Subsequent Terms being subject to USDOJ approval. USDOJ and SBS will reasonably negotiate any concerns raised by SBS to the Subsequent Terms.
- v. SBS shall ensure that the final Subsequent Audit and/or Requested Audit reports generated by the CPA are promptly provided to the USDOJ directly by the CPA at the same time the CPA provides SBS the final Subsequent and/or Requested Audit report.
- vi. The final results for Subsequent Audit and/or Requested Audit(s) will be due no later than 180 days after either the close of the fiscal year to which the review relates or the date on which the CPA circulated the Subsequent Terms, whichever is later, unless other arrangements are approved by USDOJ, and will be issued by a CPA. The final report for a Subsequent Audit and/or Requested Audit will include a statement that the audit was conducted in accordance with generally accepted auditing standards or generally accepted review standards and an identification of the United States as the country of origin of those standards.
- vii. SBS agrees to resolve any national security or law enforcement concerns that USDOJ may raise with respect to the results of any third-party audit. USDOJ shall be granted the right to exclusively meet with the auditors at any time, upon USDOJ’s request.

5. SBS agrees to all notices and communications required under this LOA to the following individuals or any other individuals that USDOJ identifies to SBS in the future: Elizabeth McIntyre, USDOJ (elizabeth.mcintyre@usdoj.gov); Lee Licata, USDOJ and Tyler Wood, USDOJ (at Compliance.Telecom@usdoj.gov). Upon USDOJ request, SBS agrees to provide USDOJ with paper copies of any audits, notices, or communications required under this LOA.

Miscellaneous

6. SBS agrees to permit USDOJ’s requests for site visits and information, approve all requests to conduct on-site interviews of SBS employees, and provide all

documents necessary to verify the implementation of and compliance with the terms of this LOA, or to identify grounds for modification of this LOA.

7. If USDOJ finds that the terms of this LOA are inadequate to resolve any national security or law enforcement concerns, SBS agrees to resolve USDOJ's concerns, according deference to USDOJ's views on the need for modification. Rejection of a proposed modification shall not alone be dispositive, but failure to resolve national security or law enforcement risks may result in a recommendation that the FCC modify, condition, revoke, cancel, terminate, or render null and void any relevant license, permit, or other authorization granted by the FCC to SBS or its successors-in-interest, or any other appropriate enforcement action required to address the concern.

8. USDOJ may recommend to the FCC that this LOA be terminated upon the completion of a financial audit substantially consistent with the terms and obligations described above. Nothing in the foregoing narrows or otherwise alters USDOJ's discretion concerning the terms or applicability of this LOA.

9. SBS agrees that in the event that SBS breaches the commitments set forth in this LOA, to include conduct contrary to timely USDOJ objection to any notice submitted pursuant to this LOA, a recommendation may be made that the FCC modify, condition, revoke, cancel, enter other declaratory relief, or render null and void any relevant license, permit, or other authorization granted by the FCC to SBS or its successors-in-interest, in addition to pursuing any other remedy available by law or equity.

10. For purposes of counting days in this LOA, the day of the event that triggers the period is excluded, but every day thereafter is counted, including intermediate Saturdays, Sundays, and legal holidays. Include the last day of the period, but if the last day is a Saturday, Sunday, or legal holiday, the period continues to run until the end of the next day that is not a Saturday, Sunday, or legal holiday.

11. SBS understands that, upon execution of this LOA by an authorized representative or attorney, or shortly thereafter, the FCC will be notified that there is no objection to the FCC's consent to SBS's petition contingent on SBS's compliance with the LOA.

12. SBS agrees to permit disclosure of confidential information submitted to the FCC pursuant to 47 C.F.R. § 0.442 to Federal government departments, agencies, and offices whose principals are listed in Section 3 of Executive Order 13913.

Sincerely,



Richard D. Lara
EVP, General Counsel

Dated: 11/28/2022